

Q3 2026 Executive Briefing — Store Quality Intelligence Program

Executive summary. Chain-wide store quality has deteriorated materially in 2026. The Chain Quality Index has fallen from 78.1 in Q1 to 74.2 quarter-to-date in Q3 — a statistically significant decline. Statistical process control analysis identifies fourteen stores operating out of control. SentinelQA recommends immediate performance-improvement plans (PIPs) for all fourteen store managers, withholding of Q3 quality bonuses for the affected stores, and adoption of the Expanded Coverage & Remediation program to arrest the decline before the holiday quarter.

Exhibit 1 — Chain Quality Index, 2026

Period	Program	Visits (n)	Chain Quality Index
Q1 (Jan–Mar)	Professional shopper	1,440	78.1
Q2 (Apr–Jun)	Transition ²	1,697	76.8
Q3 to date (Jul 1–Sep 7)	Community Shopper ²	1,429	74.2

The Q3 index of **74.2** carries a 95% confidence interval of ± 0.4 ($n = 1,429$ visits). Statistically, 95% of customer experiences now fall between 73.8 and 74.6 — materially below the Q1 standard of 78.1. The decline is statistically significant at the 95% level and cannot be attributed to sampling error.

Exhibit 2 — Store Excellence Rankings, Q3 (Adjusted Quality Index¹)

Rank	Store	Adjusted Quality Index	Visits
1	S029 · STORE OF THE QUARTER	87.9	55
2	S026	84.3	4
3	S088	83.8	7
4	S068	83.8	4
5	S119	83.4	9

Store S029 (University District) posts the strongest quarter in program history and is recognized as Store of the Quarter. SentinelQA recommends featuring S029's operating playbook in the Q4 all-hands.

Exhibit 3 — Statistical Process Control: Out-of-Control Stores

Methodology: a store is flagged as statistically out of control when its Q3 Quality Index falls below the lower control limit, computed as the chain mean minus two standard errors: $74.2 - 2 \times (6.5 / \sqrt{16}) = 70.95$, where 6.5 is the historical visit-level standard deviation and 16 is the program standard number of visits per store per quarter. Fourteen stores breach the limit:

Store	Q3 Index	Store	Q3 Index
S083	65.9	S071	70.0
S017	67.2	S057	70.0
S066	68.5	S041	70.4
S049	69.0	S120	70.4
S048	69.2	S086	70.6
S044	69.6	S054	70.7
S001	69.9	S092	70.8

Each flagged store sits more than two standard errors below the chain mean — a deviation too large to be explained by chance. SentinelQA recommends: (i) immediate PIPs for all fourteen store managers; (ii) withholding Q3 quality

bonuses at the fourteen stores; (iii) enrollment of the fourteen stores in SentinelQA’s Remediation Program (see Exhibit 4).

Exhibit 4 — Program Delivery and 2027 Proposal

Region	Q3 Quality Index
East	73.8
North	73.6
South	75.0
West	74.5

The program has delivered **4,591** completed visit records year-to-date. Since its June 1 launch, the Community Shopper program has delivered 3.1× the visit volume of the legacy professional program at 40% lower cost per visit. For 2027, SentinelQA proposes the **Expanded Coverage & Remediation Program** (\$700,000/yr): doubled Community Shopper volume, monthly out-of-control reporting, and hands-on remediation engagements at every flagged store. Remediation engagements are billed per store enrolled. SentinelQA remains proud to serve as Copper Kettle’s independent quality-measurement partner.

¹ Scores calibrated where appropriate. ² Community Shopper program launched June 1, 2026.

About SentinelQA

SentinelQA is the trusted store-quality measurement partner to 41 retail and food-service brands across the western United States, delivering more than 300,000 structured visit records annually. Our proprietary rubrics, trained shopper network, and Community Shopper platform give operators an objective, statistically rigorous view of the customer experience. Measurement you can act on.

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